private industries and, above all, prevent the rise of private monopolies.

It provided the basic framework for the government's policy in regard to industries till June 1991.

35. Statement I: CORRECT—Industrial Policy Statement, 1977. In December 1977, the Janata Government announced its New Industrial Policy through a statement in the Parliament. The main thrust of this policy was the effective pro-motion of cottage and small industries widely dispersed in rural areas and small towns.

In this policy the small sector was classified into three groups —cottage and household sector, tiny sector and small scale industries.

The 1977 Industrial Policy prescribed different areas for large scale industrial sector- Basic industries, Capital goods industries, High technology industries and Other industries outside the list of reserved items for the small scale sector.

Statement II: CORRECT—Industrial Policy of 1980 sought to promote the concept of economic federation, to raise the efficiency of the public sector and to reverse the trend of industrial production of the past three years and reaffirmed its faith in the Monopolies and Restrictive Trade Practices (MRTP) Act and the Foreign Exchange Regulation Act (FERA). New Industrial Policy during Economic Reforms of 1991

The long-awaited liberalised industrial policy was announced by the Government of India in 1991 in the midst of severe economic instability in the country.

36. Statement I: CORRECT—De-reservation of Public sector: Sectors that were earlier exclusively reserved for public sector were reduced. However, pre-eminent place of public sector in five core areas like arms and ammunition, atomic energy, mineral oils, rail transport and mining was continued. Presently, only two sectors-Atomic Energy and Railway operations-are reserved exclusively for the public sector.

De-licensing: Abolition of Industrial Licensing for all projects except for a short list of industries.

There are only four industries at present related to security, strategic and environmental concerns, where an industrial license